**BUSINESS PLANNING: TAXATION & COMPLIANCE**

May - 2026

Time allowed- 3:30 hours
Total marks- 100

*[N.B. - The figures in the margin indicate full marks. Questions must be answered in English. Examiner will take account of the quality of language and of the manner in which the answers are presented. Different parts, if any, of the same question must be answered in one place in order of sequence.]*

Marks

1. ByteSync Bangladesh Limited ("ByteSync"), a high-growth software development subsidiary of a Silicon Valley firm, has been operating in Dhaka since 2016. The company is known for its high compliance standards and has already closed its tax assessments up to the Assessment Year 2024-25.

   On May 12, 2026, at 10:30 AM, an Inspecting Joint Commissioner (IJC) along with three other officials arrived at ByteSync's office. They presented a written authorization from the Commissioner of Taxes and invoked their powers under Section 147 of the Income Tax Act, 2023. The team demanded immediate access to the central cloud server, administrative passwords for the financial ERP, and all records of international service fee remittances for the last eight years.

   Mr. Safwan, the Managing Director, is hesitant. He raises the following objections:
   Confidentiality: The server contains proprietary US-client data protected by NDAs and international privacy laws; he refuses to provide passwords that allow "unrestricted access."

   Time Bar: He claims that since assessments for the selected years like 2017-18 and 2018-19 are already "closed" and lapsed 6 years, the NBR cannot legally demand or re-examine those records through a surprise verification under Section 147, as they are beyond the typical audit selection window.

   He has asked his IT team to "delay" access until legal counsel arrives.

   **Requirements:**

   a) Analyze the legality of the demand for "passwords" and access to "encrypted data" under Section 147. Can ByteSync refuse access based on "Client Confidentiality"? 3

   b) Evaluate the potential risks for Mr. Safwan personally and for ByteSync if they continue to "delay" or obstruct the team's access. 3

   c) Address Mr. Safwan's concern regarding the Time Limitation. Is there a statutory time bar under Section 147 that prevents the authorities from investigating "closed" assessments from 6-8 years ago? 2

   d) If this verification under section 147 leads to an arbitrary assessment and a heavy penalty, outline the sequence of legal forums available to ByteSync for filing an appeal. 2

2. Mr. X, a Chartered Accountant, and Mr. Y, an Advocate enrolled with the Bangladesh Bar Council (lower courts and High Court), propose to commence a professional consultancy business in Bangladesh from 1 July 2026.

   They are considering whether to operate as:
   - (i) a Partnership Firm, or
   - (ii) a Private Limited Company

   They seek advice on which form would be more tax efficient.

   Projected Results (Common for Both Options)

| Particulars | BDT |
|---|---|
| Gross professional fees | 20,000,000 |
| Operating expenses (excluding owners' remuneration) | (6,000,000) |
| Profit before owners' remuneration | 14,000,000 |

   Profits are to be shared equally (50:50). Both Mr. X and Mr. Y are resident individuals of Bangladesh.

   **Option A: Partnership Firm**
   - Monthly remuneration to each working partner: BDT 150,000
   - Interest on capital: 5% per annum
   - Capital contribution by each partner: BDT 5,000,000
   - Remuneration and interest are allowable deductions for tax purposes.

   Tax assumptions:
   - Tax rate for partnership firm: 25%
   - Share of profit from partnership firm: Tax exempt in partners' hands
   - Remuneration and interest taxable as business income of partners

**Option B: Private Limited Company**

- Paid up capital: BDT 10,000,000 (50:50 shareholding)
- Monthly salary to each whole time director: BDT 180,000
- Directors' salary fully allowable as business expense
- Entire post tax profit distributed as cash dividend

Tax assumptions (as per Income Tax Act, 2023):

- Corporate income tax rate: 27.5%
- Dividend subject to withholding tax @ 20%
- Dividend income taxable in the hands of shareholders
- Withholding tax adjustable against final tax liability

Personal Tax Assumption

- Average effective income tax rate for each individual: 25%

**Requirements:**

a) Compute the tax liability of the partnership firm and the net post tax income received by Mr. X and Mr. Y under Option A. 4

b) Compute the tax liability of the company and the net post tax income received by Mr. X and Mr. Y under Option B. 4

c) Compare the overall tax burden (entity level plus individual level) under both options and advise which form of organisation is more tax efficient, with brief reasons. 4

3. Garments BD Limited is a 100% export oriented readymade garments manufacturer and exporter. It is a registered private limited company that commenced production on 1 July 2024. Since its inception, the factory has been a LEED certified Platinum establishment. The company utilizes state-of-the-art technologies, ensures strong corporate governance, and operates in a cashless and paperless office environment. It has also earned a reputation within the industry for maintaining a positive and healthy work environment. A tax lawyer has been engaged as a tax consultant since incorporation, and for the financial year ended 30 June 2025, the consultant has prepared the following tax computations for the company.

| | ***BDT*** | ***BDT*** |
|---|---|---|
| **Net profit before tax as per Financial Statements** | | **2,60,50,000** |
| **Less: Income to be considered separately** | | |
| Interest income | 8,17,000 | |
| Cash incentive | 3,00,000 | 11,17,000 |
| | | **2,49,33,000** |
| **Add: Expenses to be considered separately** | | |
| Depreciation as per Financial Statements | 88,00,000 | |
| Entertainment expenses | 6,97,000 | |
| Provision for provident fund | 26,60,000 | |
| Promotional expenses | 28,40,500 | 1,49,97,500 |
| | | **3,99,30,500** |
| **Add: Inadmissible expense** | | |
| Excess perquisites | 15,00,000 | |
| Subscription to BGMEA | 4,75,000 | 19,75,000 |
| | | **4,19,05,500** |
| **Less: Admissible expense** | | |
| Depreciation as per 3rd Schedule | 1,24,23,000 | |
| Actual payment to provident fund | 24,50,000 | |
| Promotional expenses | 16,03,800 | 1,64,76,800 |
| **Income before considering entertainment expense** | | **2,54,28,700** |
| Less: Entertainment expenses | | 5,28,574 |
| Income from business | | 2,59,57,274 |
| Income from financial assets (interest) | | 8,17,000 |
| Income from other source (cash incentive) | | 3,00,000 |
| **Total taxable income** | | **2,70,74,274** |

***Computation of tax liabilities***

| ***Heads of income*** | ***Rate*** | ***Base Amount*** | ***Tax Amount*** | ***Tax Liabilities*** |
|---|---|---|---|---|
| **Income from business** | | | | |
| [a] Regular tax | 12% | 2,59,57,274 | 31,14,873 | |
| [b] Minimum tax u/s 163(2) | 1% | 32,07,60,000 | 32,07,600 | |
| **Higher of [a] & [b]** | | | **32,07,600** | 32,07,600 |
| **Income from financial assets - interest** | | | | |
| [a] Regular tax | 27.5% | 8,17,000 | 2,24,675 | |
| [b] Minimum tax u/s 163(2) | 10% | 8,17,000 | 81,700 | |
| **Higher of [a] & [b]** | | | **2,24,675** | 2,24,675 |
| **Income from other source - incentive** | | | | |
| [a] Regular tax | 27.5% | 3,00,000 | 82,500 | |
| [b] Minimum tax u/s 163(2) | 10% | 3,00,000 | 30,000 | |
| **Higher of [a] & [b]** | | | **82,500** | 82,500 |
| **[A] Tax on income** | | | | **35,14,775** |
| **[B] Tax on gross receipt u/s 163(5)** | 1% | 32,07,60,000 | 32,07,600 | 32,07,600 |
| **Tax payable - Higher of [A] & [B]** | | | | **35,14,775** |

**Other Information:**

1. Garments BD Limited exports garments only to Primark, an UK retail chain. During the income year, the company exported goods amounting approximately GBP 3.2 million, equivalent to BDT 32,07,60,000, out of which 80% of the export proceeds have been realized within the year. In addition, the company has received the full amount of cash incentives and bank interest during the income year. Company also generated BDT 12,00,000 from the sale of wastage in cash, which has been duly recorded as other income in the financial statements.
2. The promotional expense includes BDT 22,20,000 for a television commercial (TVC), advertisement in a local newspaper for BDT 2,20,000 and a donation of BDT 4,00,500 to a local mosque adjacent to its factory.
3. The company paid BDT 20,00,000 as consulting fees to a local consulting firm without deducting tax at source at the applicable rate of 7.5%.

**Requirements:**

a) Critically evaluate the computations made by the consultants for the assessment year 2025–2026, identify and discuss any discrepancies, and provide your recommendations in compliance with the Income Tax Act, 2023. 5

b) Compute the correct income and tax liability for the assessment year 2025–2026. 8

c) Based on the available information, suggest tax saving opportunities for Garments BD Limited, if any. 5

4. CloudNet Bangladesh Ltd ("CloudNet BD") is a 100% subsidiary of CloudNet Global S.A., based in Estonia. CloudNet BD provides high-end data center management services. For the income year 2024-25, the company reported a net profit of BDT 8 Crores.

The company's financial statements revealed two international transactions with its parent company:

1. Global Infrastructure Support Fee: BDT 1,00,00,000 (1 Crore). The parent company charges this fee based on a "Global Cost Allocation" model, which includes a 15% markup on the costs incurred in Estonia.
2. Brand License Fee: BDT 50,00,000 (0.5 Crore). This is a fixed annual fee for using the "CloudNet" trademark in Bangladesh.

During a tax audit, the Deputy Commissioner of Taxes (DCT) raised the following issues:

- The Benefit Test: The DCT noted that CloudNet BD has its own local team of 20 IT engineers and questioned why a support fee was paid to Estonia.
- Arm's Length Markup: The DCT identified local independent IT support firms that provide similar services with an average net profit markup of 6%.
- Reporting Compliance: CloudNet BD did not file the "Statement of International Transactions" with its tax return. When the DCT issued a notice to provide a Transfer Pricing Report from a Chartered Accountant, the company refused, arguing that their total international transactions (BDT 1.5 Crores) are well below the legal threshold for such reporting.

**Requirements:**

a) Calculate the Transfer Pricing Adjustment for the "Global Infrastructure Support Fee" using the Cost Plus Method (CPM), assuming the DCT accepts the base costs but mandates the local benchmark markup of 6%. 5

b) Analyze the validity of CloudNet BD's refusal to provide an Accountant's Report. Under Section 239 of the Income Tax Act, 2023, what is the threshold for this requirement? Also, discuss the company's obligation regarding the Statement of International Transactions under Section 238. 3

c) Describe the "Benefit Test" criteria that CloudNet BD must satisfy to prevent the DCT from disallowing the entire BDT 1 Crore service fee. 3

5. Philips Medical Systems Ltd (PMSL) is a VAT-registered local subsidiary of "Philips Global GmbH," a German-based manufacturer of high-end radiotherapy equipment. Philips Global has sold several medical equipment to various hospitals in Bangladesh. Under the "Global Master Service Agreement" between Philips Global and PMSL, PMSL is responsible for providing all after-sales warranty services within Bangladesh on behalf of Philips Global.

During the tax period of January 2026, the following transactions took place:

1. Warranty Service Execution: PMSL repaired three pieces of equipment at Dhaka Cancer Hospital. The total service charge was BDT 2,500,000. As per the agreement, these services were provided to the hospital free of charge. PMSL will bill Philips Global GmbH (non-resident, unregistered in Bangladesh) for this service charge in Euro (€), equivalent to BDT 2,500,000.
2. Import of Spare Parts: To execute the warranty, PMSL imported specialized vacuum tubes. While the parts were imported, PMSL paid BDT 300,000 as Import VAT and BDT 150,000 as Advance Tax (AT).
3. Mixed Supply Scenario: At one hospital, while performing a warranty repair, the hospital requested an optional "Software AI Upgrade" which was not covered under the original warranty. PMSL provided this upgradation service and charged the hospital BDT 1,000,000.
4. Documentation Status: PMSL has received the foreign currency through a banking channel and holds an Encashment Certificate/ Proceed Realization Certificate (PRC). However, they did not issue a Mushak-6.3 to Philips Global, assuming that the service is "exported" and the PRC is sufficient evidence.
5. Input Tax Credit (ITC) Claim: In its return for January 2026, PMSL claimed the full BDT 300,000 Import VAT as a rebate. The VAT Auditor has issued a Show Cause Notice, contending that since the output supply (the repair) was "free of charge" to the local hospital, no input tax credit can be claimed under Section 46 of the Act.

**Requirements:**

a) Analyze the eligibility of the warranty service provided to Philips Global GmbH for Zero-Rating. Cite specific conditions from respective provision of the VAT & SD Act 2012 and explain if PMSL has met them. 3

b) Describe the correct VAT treatment for the Software AI Upgrade. Can this be clubbed with the warranty service to enjoy zero-rating? Justify your answer referring to the relevant provisions of the Act. 2

c) Critically evaluate the VAT Auditor's position regarding the disallowance of Input Tax Credit on the imported spare parts. Provide a legal defense for PMSL referencing Section 46 and the nature of zero-rated supplies. 3

d) Identify the documentation failures committed by PMSL in this scenario and prescribe the correct procedure for issuing invoices and claiming Advance Tax (AT) as a decreasing adjustment. 2

6. a) BluePeak Foods PLC ("BluePeak") is a packaged snack distribution company operating in Bangladesh. The company imports Organic Energy Biscuits from Nepal and sells the same in the local market.

Under the Third Schedule to the VAT & SD Act, 2012, Organic Energy Biscuits were previously subject to a truncated VAT rate of 7.5%, under which input tax credit was not admissible.

Pursuant to the Finance Ordinance, 2025, the Government has abolished all truncated VAT rates and brought the product under the standard VAT rate of 15%, with full input tax credit facility, effective from the next fiscal year.

In order to remain competitive, BluePeak has decided not to revise its maximum retail price (MRP). Accordingly, the VAT inclusive selling price per unit will remain the same under both the existing and revised VAT regimes.

Financial Information (per unit of Energy Biscuit)

Selling price (VAT inclusive):

- Under truncated VAT regime (7.5%): BDT 120
- Under standard VAT regime (15%): BDT 120 (unchanged)

Cost of Goods Sold (all amounts are 15% VAT inclusive):
Imported raw materials: BDT 55

- Packing materials: BDT 12
- Local services: BDT 8
- Utilities and factory overheads: BDT 10
- Total Cost of Goods Sold under the truncated VAT regime: BDT 85

Administrative and selling expenses: BDT 9.20, inclusive of VAT @ 15%

**Requirements:**

i) Prepare a comparative profit statement per unit showing the position of BluePeak under: 6
   - the existing truncated VAT regime (7.5%), and
   - the standard VAT regime (15%)

ii) Prepare a comparative gross VAT outflow statement, considering the total VAT paid on purchases and overheads, showing the cash position of the Government under each regime. 4
   Also briefly comment on:
   - the impact on BluePeak's profitability,
   - the impact on consumers, and
   - whether the VAT system becomes more neutral following withdrawal of the truncated VAT rate.

b) Zenith Electronics & Engineering Ltd (ZEEL) is a VAT-registered manufacturer and trader in Bangladesh. During the tax period of January 2026, the company recorded the following transactions. You are required to compute the Net VAT Payable/Refundable and determine the closing balance for the Mushak 9.1 return.

**A. Output/Supply Data:**

1. **Standard Supply:** Local sales of industrial air conditioners for BDT 15,000,000 (excluding VAT).
2. **Exempted Supply:** Sales of specialized medical equipment (exempted under 1st Schedule) for BDT 3,000,000.
3. **Export Supply:** Direct export of air conditioners and spare parts to Malaysia for BDT 5,000,000. All necessary export documents (Bill of Export, PRC) are in order.
4. **Reduced Rate Supply:** Sales of energy-saving bulbs (under 3rd Schedule) for BDT 2,000,000. These bulbs attract a 5% VAT rate.
5. **Supply of Service:** Rendered specialized repair services for BDT 1,000,000 to a corporate client. Standard 15% VAT is applicable. The client (a withholding entity) deducted the full VAT at source and provided a Mushak 6.6 certificate in January 2026.

**B. Input/Purchase Data:**

1. **Domestic Raw Materials:** Purchased materials for BDT 8,000,000 (excluding VAT) at 15% VAT via banking channels.
2. **Imported Components:** Imported a consignment with a Customs Value of BDT 4,000,000. ZEEL paid Import VAT of BDT 600,000 and Advance Tax (AT) of BDT 80,000 at the customs point.
3. **Import of Service:** Remitted a net amount of BDT 1,000,000 to a German firm for "Technical Know-how." The contract states the payment is "Net of all local taxes" (ZEEL bears the 20% AIT and 15% VAT burden).
4. **Rent & Utilities:**
   - Paid BDT 300,000 for Factory Office Rent (15% VAT paid).
   - Paid BDT 200,000 for Showroom Rent (15% VAT paid).
5. **Other Procurement:** Purchased office furniture for BDT 1,000,000 (15% VAT paid).

**C. Adjustments & Information:**

1. **VDS Certificate (Prior Period):** Received a Mushak 6.6 certificate for BDT 100,000 from a government client for supplies made in July 2025 (payment received in August 2025).
2. **VDS (Own Procurement):** ZEEL hired a security firm for BDT 500,000 (15% VAT). ZEEL is required to withhold and deposit the VAT.
3. **Brought Forward Balance:** ZEEL has an unadjusted closing balance of BDT 50,000 from the VAT Return of December 2025.
4. **Treasury Deposit:** Deposited BDT 700,000 into the government treasury in January 2026.

**Requirement:**

Calculate Total Output VAT, Total Input Tax Credit, Total Increasing Adjustments, Total Decreasing Adjustments and the final Net Tax Payable/Closing Balance for January 2026. 12

7. a) ABC Foods Ltd., a reputed manufacturing company in Bangladesh, proposes to import for the first time a proprietary food-grade composite powder to be used exclusively as an industrial raw material in the manufacture of a new value-added food product at its factory.

The imported material consists of a blend of cereal extracts, plant protein isolates, vitamins, and stabilising agents. The product is not fit for direct human consumption in its imported condition and undergoes further processing before being sold as a finished product.

For the proposed import, the following information is available:
- Quantity: 20,000 kg
- Price: EUR 6.50 per kg (CIF)

During pre-import planning, ABC Foods Ltd. receives conflicting professional opinions regarding:
- the appropriate HS Code classification of the imported material; and
- the nature and applicability of customs duties and taxes, particularly whether the item qualifies as an industrial raw material eligible for concessional or exempt duty treatment.

Management is concerned that an incorrect classification or declaration may result in short payment of duties, denial of admissible credits, and exposure to penal consequences under the Customs laws of Bangladesh.

**Requirements:**

i) Advise, with reasons, the step-by-step procedure that ABC Foods Ltd. should follow to determine the correct HS classification and applicable customs duty-tax structure, with reference to the Customs Act, 2023 and relevant customs principles in Bangladesh. 4

ii) Briefly state the legal and penal consequences of incorrect classification, mis-declaration, or wrong payment of customs duties and taxes under the Customs Act, 2023. 2

b) **Fragrance World Bangladesh Ltd (FWBL)** is a registered importer and distributor of premium French perfumes. FWBL is a 100% subsidiary of "Paris Aroma SA." During a recent import of 2,000 bottles of "Oud Luxury," the Customs Valuation Officer rejected the declared Invoice Value of USD 20 per bottle, citing that the buyer and seller are "Related Persons" under Rule 2(Ka) of the Customs Valuation Rules, 2000, and the relationship has influenced the price.

Since the value of "identical" or "similar" goods was not available, the Customs Authority decided to determine the value using the Deductive Value Method. FWBL provided the following data regarding the local sale of the same perfume in Bangladesh:

1. Local Unit Selling Price (Inclusive of all taxes): BDT 12,000 per bottle.
2. Local Commission & General Expenses (including profit): 15% of the local selling price.
3. Local Transport & Insurance (Port to Warehouse): BDT 150 per bottle.
4. Customs Duties & Taxes paid at Import Stage (Actual):
    - Customs Duty (CD): 25%
    - Regulatory Duty (RD): 3%
    - Supplementary Duty (SD): 20%
    - VAT: 15%
    - AIT: 5% and
    - AT: 5%
5. Exchange Rate: 1 USD = BDT 120.

**Requirements:**

i) Define "Related Persons" according to the Customs Valuation Rules, 2000. Under what conditions can the transaction value between related persons still be accepted by Customs? 3

ii) Calculate the Assessable Value (Customs Value) per bottle in BDT using the Deductive Value Method. 5

iii) FWBL wishes to release the goods immediately while the valuation dispute is pending. Advise FWBL on the procedure for "Provisional Assessment" and the type of security required under the Customs Act 2023. 3

---The End---